Feedback Loop Legend

R1: Credit–Asset–Demand boom

R2: Global imbalance pump

B1: Debt-service compression

B2: Fragility & credit crunch

R3/B3: Institutional rigidity vs reset

Aftermath & Politics

Loss accum.

L_Y Cum. output loss

Ineq up

Ineq down

Q Inequality

Stress up

Stress down

S Sovereign stress

Mobilise

New scarring

U_scar Unemp. scarring

Healing

Demobilise

P Political mobilisation

Real Economy

Y_pot Potential output

W Wealth

C Consumption

Y_d Disposable income

S_p Private saving

Y Output

E_Y adj.

E_Y Expected sales

K_des Desired capital

S_tot Total saving

SIgap S - I gap

Depreciation

K Capital

DS_P Debt service

T Taxes

S_g Public saving

Y_demand Demand

NX Net exports

Investment

g_Y Output gap

U Unemployment

G Govt spending

Behaviour & Institutions

sigma_Y2 adj.

sigma_Y2 Volatility

Stab Stability

R_des

R adj.

R Rigidity

θ_defer

θ_crash

G_mem Growth memory

G_mem adj.

Cris Crisis intensity

RegMem adj.

RegMem Reg. memory

C_des

Φ Fragility

Phi_mem adj.

Phi_mem Fragility memory

C_b Complacency

C_b adj.

Domestic Financial

Bailout

i Policy rate

i* Notional policy rate

Deficit + Bailout

P_F Fundamental price

Loss realisation

L_h Hidden losses

P_A Asset price

Loss creation

Write-offs

D_G Public debt

Public default

r Real rate

PA_des Desired price

P_A adj.

Reg_tight Regulation

D_P Private debt

Repay

New credit

r_L^m Market-consistent yield

r_L Long-term govt yield

External / Global Imbalances

CA

F Net foreign assets

E Real exchange rate

K_port Portfolio inflows

NX_trend

K_str Structural inflows

K_in Capital inflows

E_des Desired E

E adj.